

Day 11 Internship Notes

Date: 12-06-2026

Work Start time

9:00am

Today's Objective

- Introduction to Smart Money Concepts (SMC)
- Market Structure
- Higher Highs and Higher Lows
- Lower Highs and Lower Lows
- Impulse and Correction
- Multi-Timeframe Analysis
- Anchored Volume Weighted Average Price (AVWAP)

Topics learned Today:

Topic 1: Introduction to Smart Money Concepts (SMC):

Today I officially started learning Smart Money Concepts (SMC), a trading methodology that focuses on understanding how institutional traders, hedge funds, banks, and other large market participants influence price movement.

Unlike traditional indicator-based trading, SMC focuses on understanding market behavior through price action, market structure, liquidity, and institutional activity. The objective is to analyze the market from the perspective of professional traders rather than relying solely on lagging indicators.

I learned that SMC follows a structured learning path where each concept builds upon the previous one. Market Structure serves as the foundation and must be understood before progressing to advanced concepts such as Break of Structure (BOS), Change of Character (CHoCH), Liquidity Sweeps, Fair Value Gaps (FVGs), and Order Blocks.

The SMC learning roadmap is:

- Market Structure
- Break of Structure (BOS)
- Change of Character (CHoCH)
- Liquidity
- Liquidity Sweeps
- Fair Value Gaps (FVG)
- Order Blocks

- Mitigation Blocks
- Premium and Discount Zones
- SMC Trading Models

Understanding this roadmap helped me see how professional traders systematically analyze market behavior.

Topic 2: Market Structure:

Market Structure is one of the most important concepts in trading because it reveals how the market flows and helps traders identify trend direction.

I learned that markets do not move in straight lines. Instead, price moves through a series of advances and pullbacks that create recognizable patterns. These patterns allow traders to determine whether buyers or sellers currently control the market.

Market Structure helps traders:

- Identify trends.
- Recognize potential reversals.
- Improve entry timing.
- Align trades with market direction.

By understanding market structure, traders can avoid trading against the dominant trend and focus on higher-probability opportunities.

Topic 3: Higher Highs, Higher Lows, Lower Highs, and Lower Lows:

A major part of market structure analysis involves identifying Higher Highs (HH), Higher Lows (HL), Lower Highs (LH), and Lower Lows (LL).

Higher High (HH)

A Higher High occurs when price creates a new peak above the previous peak.

Higher Low (HL)

A Higher Low occurs when price retraces but remains above the previous low.

When a market continuously forms Higher Highs and Higher Lows, it indicates a healthy uptrend where buyers remain in control.

Lower High (LH)

A Lower High occurs when price fails to move above the previous high.

Lower Low (LL)

A Lower Low occurs when price moves below the previous low.

When a market continuously forms Lower Highs and Lower Lows, it indicates a downtrend where sellers remain in control.

Learning these structural points helped me understand how traders identify trend direction directly from price action.

Topic 4: Impulse and Correction:

I learned that every trend consists of two major phases: Impulse and Correction.

Impulse Move

An impulse move is the strong movement in the direction of the prevailing trend.

Examples:

- In an uptrend, impulse moves create Higher Highs.
- In a downtrend, impulse moves create Lower Lows.

Impulse moves indicate strong participation from the dominant side of the market.

Correction Move

A correction, also known as a retracement, occurs when price temporarily moves against the trend.

After an impulse move, market participants often take profits while traders from the opposite side enter positions, causing price to retrace.

Corrections are a natural part of market behavior and often provide opportunities for traders to enter positions at better prices before the trend continues.

Understanding the relationship between impulse and correction phases helped me better understand how trends develop over time.

Topic 5: Multi-Timeframe Analysis:

Today I learned the importance of analyzing multiple timeframes before making trading decisions.

Different timeframes reveal different aspects of market structure.

Higher Timeframes

Examples:

- Daily Chart
- 4-Hour Chart

Purpose:

- Identify the major trend.
- Understand overall market direction.

Lower Timeframes

Examples:

- 1-Hour Chart
- 15-Minute Chart
- 5-Minute Chart

Purpose:

- Observe corrections.
- Find precise entry opportunities.
- Improve risk management.

I learned that many beginner traders make mistakes by focusing only on one timeframe. Multi-timeframe analysis helps traders understand both the bigger picture and the detailed price movements occurring within the trend.

Topic 6: DeepVue Anchored VWAP (AVWAP):

Today I explored the Anchored Volume Weighted Average Price (AVWAP) indicator available in DeepVue.

AVWAP is a volume-weighted average price indicator that starts from a user-selected anchor point. Unlike traditional VWAP, which resets daily, AVWAP allows traders to analyze price behavior from important events such as:

- Major reversals.
- Earnings gap days.
- Significant highs or lows.
- Breakout points.

The indicator helps determine whether buyers or sellers are controlling a stock from a specific point in time.

Price Above AVWAP

When price remains above the AVWAP line:

- Buyers are generally in control.
- Market sentiment remains bullish.
- AVWAP often acts as support.

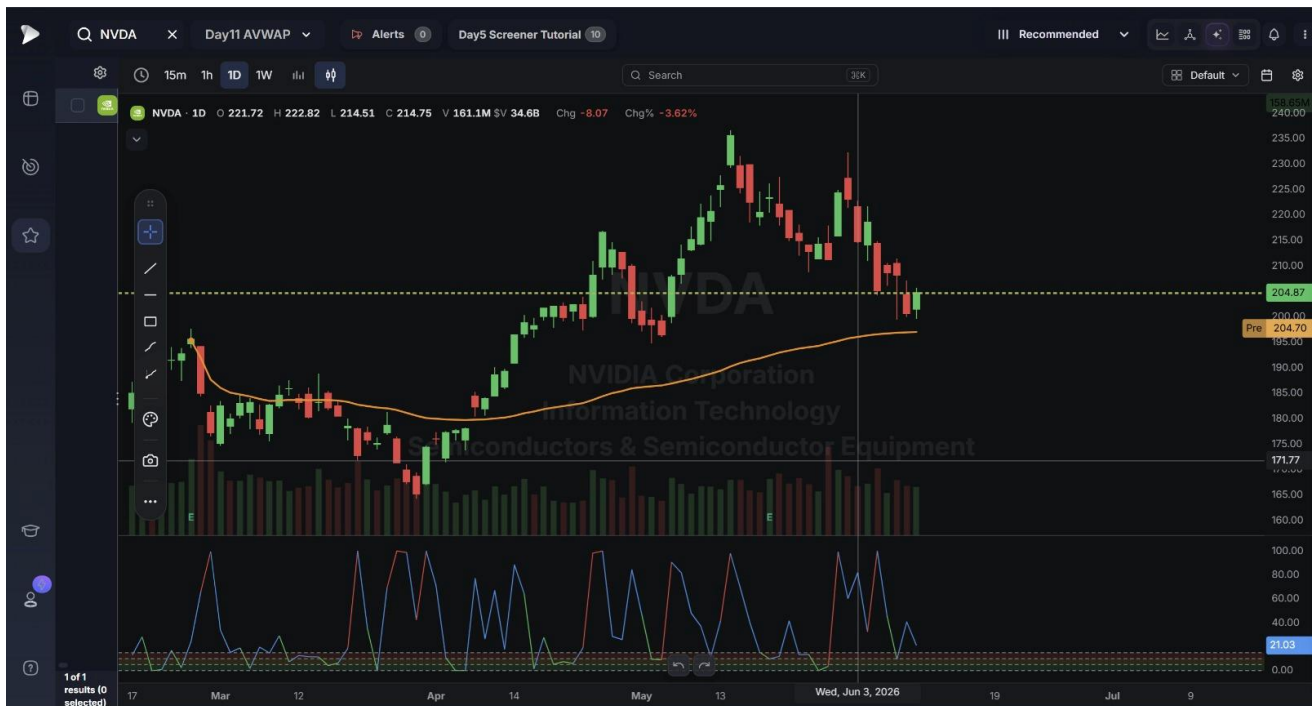
Price Below AVWAP

When price remains below the AVWAP line:

- Sellers are generally in control.
- Market sentiment becomes bearish.
- AVWAP often acts as resistance.

I learned that AVWAP is commonly used alongside market structure, moving averages, and volume analysis to improve decision-making and identify high-probability trading opportunities.

Practical Learning



DeepVue Practice – DeepVue Anchored VWAP (AVWAP)

During today's practical session, I explored the Anchored Volume Weighted Average Price (AVWAP) indicator available in DeepVue and learned how professional traders use it to identify market control, support and resistance levels, and potential entry opportunities.

For this exercise, I analyzed NVIDIA (NVDA) on the daily timeframe and observed how the AVWAP line reacted to price movements over an extended period. The AVWAP was anchored from a significant price event, allowing me to track the average price paid by market participants from that specific point in time.

While analyzing the chart, I noticed that whenever the stock traded above the AVWAP line, buyers generally maintained control of the trend and the stock continued to move higher. During pullbacks, the AVWAP often acted as a dynamic support level where buyers re-entered the market. This demonstrated how institutions and professional traders may use the AVWAP as a reference point for maintaining positions.

I also observed periods where the stock price moved closer to the AVWAP after a strong rally. These pullbacks provided valuable information about market sentiment. When price remained above the AVWAP after retracing, it suggested that the overall trend remained healthy and that buyers were still willing to defend important levels.

Another important observation was how the AVWAP helped filter market noise. Instead of reacting to every short-term price fluctuation, the indicator provided a clearer view of the stock's overall direction and whether the dominant market participants remained in control.

Through this practice, I learned that AVWAP is more than just an average price indicator. Because it incorporates both price and volume, it provides insight into the average cost basis of market participants from a chosen anchor point. This makes it a powerful tool for identifying trend strength, support and resistance zones, institutional positioning, and potential trading opportunities.

The exercise demonstrated how traders can combine AVWAP with market structure, moving averages, volume analysis, and price action to improve decision-making and develop a more disciplined approach to trading.

Questions I Had and Answers I got :

Q1. Why is Market Structure considered the foundation of Smart Money Concepts?

Market Structure is considered the foundation of Smart Money Concepts because it helps traders identify trend direction, market phases, and potential reversals. All advanced SMC concepts such as Break of Structure (BOS), Change of Character (CHoCH), Liquidity, and Order Blocks depend on a proper understanding of market structure.

Q2. What is the difference between an Impulse Move and a Correction?

An Impulse Move is a strong movement in the direction of the trend, while a Correction is a temporary retracement against that trend. Impulse moves create new highs or lows, whereas corrections allow the market to reset before potentially continuing in the original direction.

Q3. How does Anchored VWAP (AVWAP) help traders?

AVWAP helps traders determine whether buyers or sellers are controlling a stock from a specific point in time. By anchoring the indicator to important events such as earnings gaps, reversals, or breakout points, traders can identify support, resistance, trend strength, and potential entry opportunities.

Key Takeaway

- Market Structure is the foundation of Smart Money Concepts.
- Higher Highs and Higher Lows indicate an uptrend.
- Lower Highs and Lower Lows indicate a downtrend.
- Every trend consists of Impulse and Correction phases.
- Multi-Timeframe Analysis improves market understanding.
- Trading decisions should be supported by multiple confirmations.
- VWAP helps identify market control, support, and resistance.
- Professional traders combine market structure with volume-based tools for better decision-making.

Conclusion

Day 11 focused on building a strong foundation in Smart Money Concepts by learning Market Structure and understanding how trends develop through Higher Highs, Higher Lows, Lower Highs, Lower Lows, Impulse Moves, and Correction phases. I also learned the importance of Multi-Timeframe Analysis and how traders apply Market Structure to different trading strategies. Additionally, I explored the DeepVue Anchored VWAP indicator and understood how it helps identify buyer and seller control, support and resistance levels, and institutional positioning. These concepts strengthened my understanding of price action and provided a solid base for learning more advanced SMC topics in the future.